



Cancellation and Change Order Clause

Cancellations are treated with a change order in Order Entry. The Customer by a formal written letter or issuing of a revised Purchase Order may cancel the order. Such cancellation shall be effective after receiving of the Cancellation Letter or Revised Purchase Order by the Vendor. Delivery of the material may result in a delivery impact depending on the time of cancellation.

The recipients must acknowledge this cancellation clause and a return copy of the acknowledged cancellation charges must be return to the owner after 10 working days.

Cancellation charges are normally different for each job. These are based on a certain percentage of the Sales Price. In case where the cancelled items can be used to replace another item, a documentation charge of 10% will be imposed.

An administrative fee of USD 250.00 will be imposed on each change order or cancellation order.

1. Standard Design Valves

	<u>Order Status At The Point Cancellation Or Changes Were Made</u>	<u>Normal Stock Items</u>	<u>Non-Stock Items</u>
1.1	Prior to order entry	10%	10%
1.2	After order entry, prior to release to manufacturing	15%	15%
1.3	After release to manufacture, prior to assembly	20%	35%
1.4	After assembly	50%	70%

2. Special Design Valves

	<u>Order Status At The Point Cancellation Or Changes Were Made</u>	<u>New or Modified Design</u>	<u>Highly Engineered, Special Design</u>
2.1	Prior to order entry	10%	10%
2.2	After order entry	30%	40%
2.3	After engineering	40%	50%
2.4	After release for procurement	50%	60%
2.5	After release to manufacture	70%	80%
2.6	After assembly	85%	100%